

Module Seven Research Questions

I'll be covering the cost overrun/budget failure of the healthcare.gov (2013) due to its IT nature. To begin, the budget was originally estimated at a range of \$94M-\$292M depending on source. Despite this the final cost exceeded \$2B across fifty plus contractors. At the launch of the project, the site was incapable of handling traffic which resulted in a rescue effort, furthering costs significantly.

There are a few reasons to note which appear to have caused this catastrophe. To begin with, vendor oversight and contract management was (obviously) very poor. The project lacked a lead system integrator who would have coordinated between the surplus of contractors. On top of this, there had not been adequate testing before the launch leading to the expensive emergency effort to fix this failure. The Government Accountability Office (GAO) made reports on the project including one titled "HealthCare.gov: Ineffective Planning and Oversight Practices Undermined State and Federal Enrollment Websites" which aptly states two of the biggest influences on budget failure.

In consideration of the reasons leading to this immense overrun of cost, I would suggest appointing a strong lead system integrator. There was no single entity accountable for the entirety of the project. With a designated LSI, integration failures would have been found out sooner, a budget would have been centralized across all contractors, and served as a single point of accountability. More funding wouldn't solve the lack of oversight, agile methodology may have helped though governance was the largest issue (as well as political time constraints limiting implementation), and better testing would have caught some failures yet still lack fixing the issue of budget accountability.